

Illustration by SIDDHANT JUMDE

MUTUAL FUNDS

WHY FINANCIAL ADVICE MATTERS

Professional and experienced financial advisors can help you navigate your options, and not just during a difficult market phase

It is hard to miss the 'Mutual Fund Sahi Hai' advertisement. It's on billboards, metro trains, in newspapers, on social media, at the IPL, and many other places. The campaign's success is undeniable, and it has brought millions of people into the investing fold through mutual funds (MFs). According to the Association of Mutual Funds in India (AMFI) data, the unique investor count had surged from 23 million in 2020 to over 61.4 million by mid-2026. But many of these new investors seem to have joined the bandwagon out of FOMO, and have not fully understood the nuances of mutual fund investing.

Starting investments in mutual funds is easier than ever. Many digital platforms have made investing in MF schemes as simple as a few clicks on a mobile app. Free advice and suggestions on which fund is best to invest in can help you get started. However, 36 standardised categories across five broad asset classes, offered by about 54 fund companies, can test even the most seasoned investors. In many ways, mutual fund investing has become like gully cricket; you can start playing as long as you have a few players, a bat and a ball.

Many new mutual fund investors start based on what they have read or heard, but they don't fully understand how the chosen fund works for them. The most common mistake many new investors make is starting SIPs (systematic investment plans) in multiple funds. This can lead to overlap in fund categories and concentration in similar types of funds. Similarly, choosing funds based on recent performance or events that boosted their performance is not the best way to invest in mutual funds.

That said, some investors also do research before starting their investment journey. The idea is not to take anything away from self-taught investors who have done exceedingly well, but to help those who have entered the investment world understand what they have got into. It is also to help them navigate their investment journey success-